EU tech regulation

EU pushes for 'tech sovereignty' to cut reliance on US

Draft strategy marks shift from regulating Big Tech to favouring European services

The plan envisages incentives to accelerate the construction of European data centres and favour homegrown cloud and AI technologies © Damien Meyer/AFP/Getty Images

Barbara Moens in Brussels

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The EU is preparing a sweeping push to loosen its dependence on US technology by backing European alternatives in sectors from semiconductors and cloud computing to AI.

A draft European tech sovereignty strategy seen by the FT says the bloc must "reclaim its place in the global race for geoeconomic power" at a "defining moment to assert its technological sovereignty".

The plan envisages incentives to accelerate the construction of European data centres and favour homegrown cloud and AI technologies.

The strategy signals a marked shift in the European Commission's approach to Big Tech — from chiefly regulating Silicon Valley groups to promoting European alternatives — despite lobbying from US officials and tech companies. The paper is still subject to change before publication next week.

The Commission did not immediately respond to a request for comment.

The move follows months of mounting concern in EU capitals about reliance on American tech that underpins most of the bloc's economy. Officials and companies also fear US President Donald Trump could suspend or restrict access to critical US tech services amid rising transatlantic tensions.

At the centre of the EU strategy is a Cloud and AI Development Act, aimed at accelerating European data centre capacity by simplifying and harmonising procedures for data centres. The goal is to triple EU capacity in the next five to seven years.

The law also seeks to encourage the development of "sovereign" cloud and AI. European governments will have to carry out "sovereignty risk assessments" to improve resilience and identify European alternatives.

The law could boost existing European tech players such as SAP, Mistral and OVHcloud.

Currently, more than 70 per cent of the cloud market in the EU is dominated by three US participants: Amazon, Microsoft and Google. In a bid to stave off concerns, several US tech companies have offered European customers more control over where their data is localised. Microsoft has said it will contest any US government order to cease cloud services to European customers, including through the courts.

To avoid any “sovereignty-washing”, meaning foreign companies still being the main driver behind European tech services, the Commission will define four levels of cloud sovereignty. Those rankings will be linked to criteria including who controls the service, the supply chain, the processing of data for AI models, and the infrastructure’s location and cyber security.

Brussels is also planning a second iteration of its law on chips to strengthen domestic semiconductor manufacturing and reduce dependence on foreign providers, especially after a chips shortage following the takeover of chipmaker Nexperia by China’s Wingtech.

That law seeks to boost domestic demand for chips designed and manufactured in the EU by linking suppliers with users, for example via offtake agreements.

The Commission insisted the plan was not about “isolation, protectionism or tech decoupling” but rather about creating “strategic counterweights that enhance Europe’s capacity to remain open to the world without compromising its interests and values”.

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